

Description of main risks

Strategic risk

Most of the Group's equity is invested into real estate development. The Group is focused mainly on residential real estate development where development cycle lasts for years, starting from the acquisition of a land plot, moving on to detail planning, design and construction, and ending with the sale of end products to customers. The equity is invested mainly in the early phase of the cycle (purchase of land) on the assumption that there will be a demand for certain products in the future. Considering that the demand for development product is largely based on forecasts, the main risk for the Group is investing equity into a development product for which there is no or too little demand in the future.

To mitigate the risk, the Group: (i) invests equity into different development projects in different markets (in 2024, in Tallinn and Sofia), (ii) monitors current demand and supply in its home markets and (iii) makes efforts to narrow the time between making initial investment and selling the final product – by signing presale agreements with clients, acquiring land without no or delayed equity investment, using different project financing options that don't involve equity.

Credit risk

The Group considers credit risks to be substantially mitigated. The final sale of real estate development products takes place simultaneously with customer payment, therefore customer debts do not arise. Also, cash and cash equivalents are not held in the same banking group.

Liquidity and interest rate risks

All of the Group's loan agreements are concluded in euros. As of the reporting date, the interest rate of most loan liabilities includes the 6-month Euribor as the base interest rate. Therefore, the Group is exposed to developments in international capital markets. Long-term interest rate risk is not hedged with derivative instruments. In 2024, the group's interest-bearing liabilities amounted to 15,215 thousand euros on 31 December 2024, out of which 234 thousand euros is due within next 12 months. The group's interest-bearing liabilities have increased by 5,135 thousand euros in 2024. The group's cash and cash equivalents totaled 1,720 thousand euros as of 31 December 2024 (31 December 2023 1,472 thousand). In 2024, 1,311 thousand euros of interest was paid on interest-bearing liabilities (1,326 thousand euros in 2023). The group's weighted average loan interest rate was 8.7% as of 31 December 2024. This is an increase by 0.5 percentage points compared to the end of year 2023. The reason for the increase in the average interest rate of loan obligations is due to the addition of a Euribor component to the Rannakalda development loan.

Currency risk

Real estate sales are mostly nominated in euros, as a result of which the group's assets and liabilities structure does not involve a significant currency risk. The group is not protected against currency devaluations. Liquid assets are mostly held on demand or short-term deposits denominated in euros.

Sustainability (ESG) principles

The main activity of Arco Vara is real estate development. Knowing that nearly 40% of global greenhouse gas emissions come from the construction and building sector, Arco Vara has begun to map its corporate activities in the ESG framework under the umbrella topics of Environmental, Social and Governance impacts. We believe that concerns related to global climate change should be reflected in every development we plan. Residential real estate has a long life and includes not only the house, but also the surrounding environment, infrastructure, and availability of services. In order to diminish the impacts of the sector on the environment and climate, all organizations and persons in the supply chain of Arco Vara need to work together.

As a result, we brought 15 topics of importance under the three umbrella topics of ESG – Environmental, Social and

Governance – together with 33 sub-topics and activities which have a significant environmental, social or financial impact for Arco Vara.

We involved stakeholders to determine the seven topmost central topics which the sustainability strategy of Arco Vara focuses on. These topics contain the most significant potential positive or negative impacts on the environment and the people, as well as the financial risks or opportunities for the company:

-  Occupational health and safety
-  Customer satisfaction
-  Community and contribution to society
-  Creating a strong work culture
-  Corporate ethics
-  Diversity and inclusivity
-  Energy.

Occupational health and safety

Every company's greatest asset is its employees. The daily management of the company involves the application of occupational safety measures to keep the work environment safe and free of accidents.

-  The health, safety and wellbeing of employees is the most important thing for Arco Vara.
-  We want to ensure a safe, inclusive and inspiring work environment for all our employees.
-  Our employees are like family who grow together and develop novel sustainable solutions in both work life and personal career.
-  Via various initiatives, regulations, trainings and adherence to work safety rules, we can ensure a fair and safe work environment for all our team members.

Customer satisfaction

The best and most immediate feedback to maintain our provision of high quality is the satisfaction of our clients. Our guiding motifs in customer satisfaction are:

-  Our achievements and results are appreciated by the clients of Arco Vara.
-  Arco Vara only makes promises it is able to keep.
-  Adhering to the delivery time of Arco Vara is a matter of pride for the company and if necessary, extra steps are taken to ensure that the expectation of the client is met.
-  Customer satisfaction gives us the certainty that we are operating fairly, develop and create living environments with added value.
-  Ensuring quality of real estate requires consideration for the expectations, needs and demands of various interest groups.

The community and contributing to society

In order to turn a house into a home, we need to think farther at the stages of planning and design, on how changes in generations will be satisfied with the functionality and use of space and whether everyone's needs are met, including consideration for local animal and plant species to preserve natural diversity and multiplicity of species.

Creating a living environment and harmony with nature is the basis for Arco Vara:

-  The developments of Arco Vara take the natural ecosystem into account in the quarter being built, preserving the original plants which are necessary for pollinators who the preservation of natural diversity and the agriculture depend on.
-  Arco Vara carries out dialogues with local communities and governments to find the best solutions for ensuring the expectations of everyone involved and for use and enjoyment of the living space.



The KPI is to keep the number of accidents at work at 0.

- Arco Vara supports its employees in participating in charity and, whenever possible, also contributes by giving back to the community, e.g., via donations.
- The public space adjacent to a building must provide experiences and a pleasing sight for children, the young, middle-aged and old alike, who need to be able to move around, play sports and rest in fresh air even in areas that have been built up.

Creating a strong corporate culture

Everyone's best contribution is directly reflected in our financial results, the motivation of our employees and maintenance of team spirit. A strong team spirit brings us to excellent results, because only together can we strive towards the goals we set.

- The motto of an employee of Arco Vara is "I work like the owner".
- Responsibility is one of the greatest expectations set to our employees at work. Our employees create new living environments and the durability and development of employees is very important for Arco Vara.
- We establish one-on-one conversations between the employee and supervisor, in order to increase the employee's motivation and competence.
- Good corporate governance and openness at work creates the synergy necessary for teamwork.
- The employees of Arco Vara may work with a flexible schedule, contributing to and creating opportunities for increasing their knowledge or combining work with private lives if necessary, which is especially important for parents and students.
- Various events are organized to maintain team spirit, increasing motivation as well as opening up new perspectives.

Corporate ethics

We create an environment where business is conducted honestly and ethically, with no space for corruption. All of our developments comply with state laws, from various environmental and building permits to taxation and reporting quarterly financial results as a publicly traded company.

- The corporate behavior of Arco Vara is honest and transparent.
- Honest payment behavior is guided by local regulations, terms of contract and invoices paid on time.
- We expect our partners to act responsibly.
- The marketing messages of Arco Vara are chosen strategically and highlight support for sustainable development.
- Arco Vara has zero tolerance for corruptive behavior, especially in regards to employee behavior and prevention of corruption.
- If any business partner of ours turns out to have behaved unethically, we are prepared to immediately terminate cooperation until issues are resolved.
In addition, it is important for Arco Vara that employee rights, including human rights are protected throughout our supply chain:
- The rights set in national labor law must be ensured for our employee, including our subcontractors and their employees, and these rights must be honored.
- We terminate cooperation if a partner/supplier turns out to be treating their employees improperly or inhumanly.
- Child labor is not abused, the youth may be used for simpler work within the scope of national labor law but the restrictions of the state must be strictly adhered to.

Diversity and inclusivity

Every employee is important at Arco Vara, with a specific goal and aim – working together brings the desired targeted results.

- Employees may not be discriminated against on the basis of nationality, skin color, language, origin, faith, political or other views, as well as proprietary and social status or other circumstances.
- Equal opportunities for development have been created for all employees of the company.



The motto of an employee of Arco Vara is "I work like the owner".

- The employees of Arco Vara and their personal specificities enrich the team.
- The working environment of Arco Vara is also accessible for people with restricted mobility.

Energy

We take natural sunlight into account during the design stage to ensure energy efficiency of a building. We seek innovative solutions and materials so that our buildings would have less of an impact on the environment and that we could stay in harmony with nature for longer. If the developments are far from the remote heating network and cannot be connected to it, then we add heating solutions based on alternative fuels such as geothermal heating. We also design the option to add solar panels to decrease dependency on power consumption in the main network. Energy efficient solutions are clearly also increasingly appreciated by our clients.

We prefer to use solutions which help promote energy efficiency, such as:

- during the designing stage, we aim for the lighting technology to be LED and to install solutions with light or motion sensors.
- We consider the most beneficial heating solutions based on location (cardinal directions, geographic location).
- If necessary, we add renewable energy sources such as solar panels and geothermal heating.

Arco Vara's contribution on the SDGs of the UN

Supporting sustainable development in the society is part of the nature of Arco Vara. Our business also aids in reaching global goals of sustainable development in Estonia and Bulgaria. We can impact the following sustainable development goals the most:



Our greatest impact on the environment at Arco Vara is when designing our developments, where we can consider the material resources and energy needs required for the lifespan of the building in advance. Topics of nature preservation are taken into account when creating new projects as early as when buying land, where the natural habitats of the plot are assessed and later preserved as much as possible during development. As we are the developer, we need to pay increasing attention to the daily work of subcontractors. We want the safety of workers to be the number one priority for all of our partners. As common practice, it is mandatory to always introduce the safety rules of occupational health to the construction workers, and they are equipped with work clothes. A safe work environment also creates a good prerequisite for high-quality work.

We also monitor the development of new construction materials and offer new generation finishing material, such as recycled materials to our clients, which should contribute to the implementation of a more sustainable consumer culture and has a smaller environmental footprint. The end user is frequently unaware of which product is better for the environment when selecting materials. We can see that consumers making environmentally friendly choices requires still educating the market and increasing awareness. As developers, we see that consumers cannot yet appreciate energy efficient solutions fairly and want to decide only based on price or design when buying a home. This is definitely an issue in the sector, requiring more work in increasing awareness at the market.

It is important for the houses we design and build at Arco Vara to be able to be handed down for generations and for the residential areas to offer emotions and recreational activities to people of all ages. During the designing stage, we combine the beauty of nature, functionality of the building, and access to essential services.

Arco Vara developed 117 apartments with energy class A in 2023 and plans to develop 118 A energy class apartments in 2025.

Environmental impact assessment

The construction sector is widely known as a major contributor to pollution. In 2025, calculating the CO₂ print of the building becomes mandatory when applying for a construction permit in Estonia, allowing for more environmentally friendly building moving forward. No new residential real estates were completed in 2024, but the development of Kodulahe Lammi 8 was completed at the end of 2023 and we decided to measure its carbon footprint on our own accord, in order to make choices with greater awareness for future construction sites.

The method

The climate impact of the building was assessed using the Estonian calculation method for carbon footprint of construction works, developed by the scientists at TalTech in cooperation with the experts of the Finnish company One Click LCA as commissioned by the Ministry of Economic Affairs and Communications. The methodology also involves the Estonian database for construction materials supplemented by the data of materials provided by Arco Vara as necessary.

Definitions

Carbon footprint – the total amount of greenhouse gas emissions expressed in a quantitative manner (as measured in CO₂ equivalent) generated as a result of the operations of a company/organisation or other entity. In this report it is also referred to as climate impact. **Greenhouse gases (GHG)** – atmospheric gases that absorb heat radiation and cause the greenhouse effect. These are carbon dioxide (CO₂), methane (CH₄), nitrous oxide (N₂O), hydrofluorocarbon compounds (HFC), perfluorocarbon compounds (PFC), sulphur hexafluoride (SF₆) and nitrogen trifluoride (NF₃).

CO₂ equivalent (CO₂-eq) – the unit of measurement of carbon footprint which reflects the varying potential of greenhouse gases in causing global warming as expressed in CO₂ equivalent.

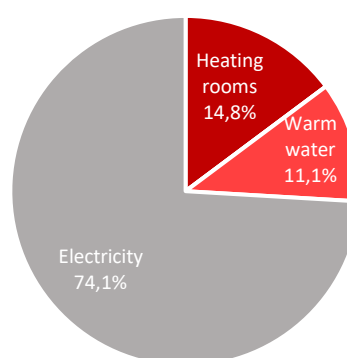
Global warming potential (GWP) – indicates the number of times by which a given molecule of another greenhouse gas is stronger than a carbon dioxide molecule in terms of power of thermal energy absorption.

Specific emission factor – a ratio that expresses the amount of greenhouse gas emitted in a certain field of human activity per unit of impact (e.g., 0.173 kg of CO₂-eq per one kilometre travelled by a diesel engine).

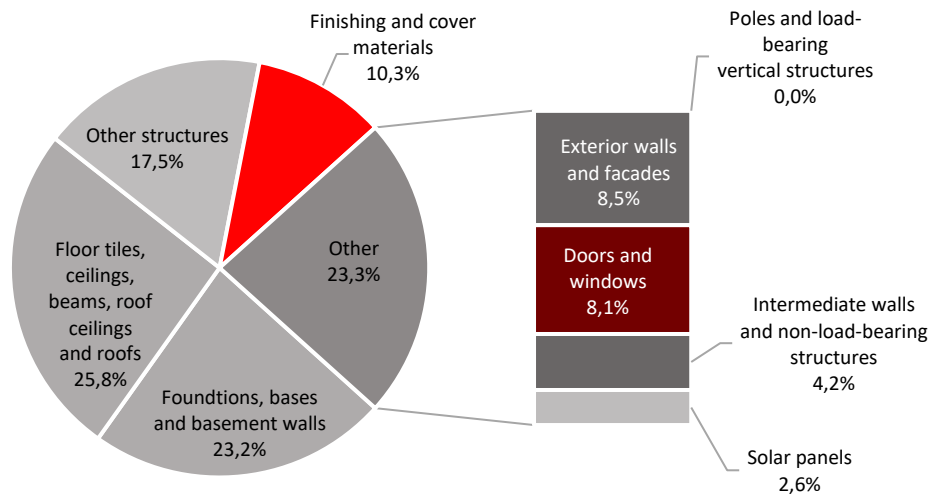
Carbon footprint of the building's lifetime

The period of use for Kodulahe is calculated as 50 years according to the Estonian method. During this time, 9,192 tonnes of CO₂-equivalent of greenhouse gas emissions are generated from energy consumption. Energy consumption is usually the dominant component of the carbon footprint of a building, as the carbon content of Estonian network electricity is one of the highest in Europe.

The rooms are heated via remote heating, which is generally one of the most optimal forms of heating. Central cooling is not intended for the building, therefore having no impact on use. The climate impact for warm water is caused by the energy needs for heating water.



Arco Vara
Carbon footprint of the
Kodulahe development
16,085 tonnes CO₂-eq
31.4 kg CO₂-eq/m² per y
1.6 t CO₂-eq/m²
Net area: 10,260.4 m²



Climate impact of the Kodulahe Rannakalda development

	Life cycle stage of the building	Climate impact, t CO ₂ -eq	Proportion, %
A1-A3	Construction materials	5,328	33.1
A4	Transport of materials to site	476	3.0
A5	Construction	176	1.1
B4	Replacement of materials	365	2.3
B6	Energy during use	9,192	57.1
C1	Demolition	102	0.6
C2	Transport of waste	13	0.1
C3	Recycling	103	0.6
C4	Depositing	330	2.0
	Total	16,085	100.0

Shares and shareholders

Share price

Arco Vara AS has issued a total of 10,388,367 ordinary shares with nominal value of 0.7 euros per share. The shares (ARC1T, ISIN EE3100034653) are freely traded on NASDAQ Tallinn stock exchange. The share price closed at 1.435 euros on 31 December 2024; the closing price was 1.705 euros on 31 December 2023. During the period, the highest traded price per share was 1.78 euros and the lowest price 1.31 euros. Equity per share was 1.90 euros as of 31.12.2024, 2.02 as of 31.12.2023.

As of 31 December 2024, market capitalization of shares amounted to 14,907 thousand euros and P/B (price to book value) ratio was 0.76 (31 December 2023: 17,712 thousand euros and 0.84, respectively). P/E (price to earnings) ratio of the share was -23.92 on 31 December 2024, 4.99 on 31 December 2023.

The following charts reflect the movements in the price and daily turnover of Arco Vara's share in 2024 and during the last three years.



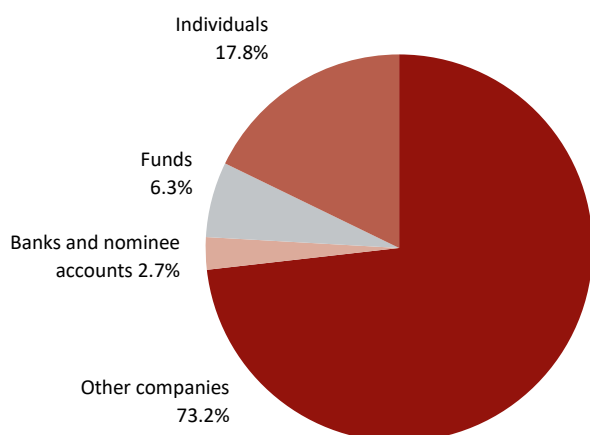
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Shareholder structure

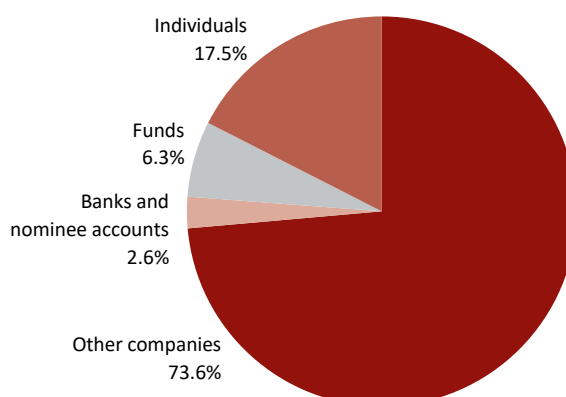
As of 31 December 2024, Arco Vara had 7,891 shareholders (on 31 December 2023 8,316), including 7,255 individuals as shareholders (on 31 December 2023: 7,596 individuals)

who jointly owned 17.8% (on 31 December 2023: 17.5%) out of all Arco Vara shares. Complete shareholder structures are presented on the following diagrams.

Ownership structure as of 31 December 2024



Ownership structure as of 31 December 2023



Major shareholders on 31 December 2024

Name	No of shares	Share, %
Alarmo Kapital OÜ	6,457,531	62.2%
FIREBIRD REPUBLICS FUND LTD	337,057	3.2%
Aia Tänav OÜ	229,000	2.2%
HM Investeeringud OÜ	220,505	2.1%
Marko Teimann	200,029	1.9%
FIREBIRD AVRORA FUND, LTD.	180,343	1.7%
K VARA OÜ	158,742	1.5%
FIREBIRD FUND L.P.	133,948	1.3%
Sander Karu	112,134	1.1%
Citibank (London) / OP Custody Ltd	56,952	0.5%
Other shareholders	2,302,126	22.3%
Total	10,388,367	100.0%

Holdings of management and supervisory board members on 31 December 2024

Name		No of shares	Share, %
Tarmo Sild and Allar Niinepuu (Alarmo Kapital OÜ)	Chairman/member of supervisory board	6,457,531	62.2%
Tarmo Sild (privately and Aia Tänav OÜ)	Chairman of supervisory board	245,000	2.4%
Hillar-Peeter Luitsalu (HM Investeeringud OÜ and related persons)	Member of supervisory board	259,259	2.5%
Kert Keskaik (privately, K Vara OÜ, K24 Invest OÜ, Kolde Invest OÜ and One Eleven OÜ)	Member of supervisory board	212,796	2.0%
Allar Niinepuu (OÜ Kavass)	Member of supervisory board	28,400	0.3%
Steven Yaroslav Gorelik ¹	Member of supervisory board	0	-
Kristina Mustonen	Member of management board	1,500	0.0%
Total		7,204,486	69.4%

¹ - Steven Yaroslav Gorelik is active as fund manager in three investment funds holding interest in Arco Vara (Firebird Republics Fund Ltd. Firebird Avrora Fund Ltd and Firebird Fund L.P) of 651,348 shares (total of 6.3% interest).

Corporate governance report

The shares of Arco Vara AS (the “Company”) were listed in the main list of the Tallinn Stock Exchange on 21 June 2007. As a listed company, Arco Vara AS observes the laws and regulations that are effective in Estonia, the rules and recommendations of NASDAQ OMX Tallinn Stock Exchange, and its own core values.

Together with the annual report, the Company discloses its corporate governance report in which the Management

confirms the Company’s compliance with the Corporate Governance Recommendations (“the CGR”). Any instances of non-compliance with the CGR are disclosed and the reasons for non-compliance are explained. The annual report has been prepared in accordance with the guidance of the CGR. The current corporate governance report is a separate section of the management report, which is part of the Company’s annual report.

General meeting

The Company’s highest governing body is the general meeting of its shareholders. The competence of the general meeting and the procedure for convening general

meetings and passing resolutions are governed by the Company’s articles of association and the Commercial Code.

In 2024, one annual general meeting took place.

Annual general meeting

Notice of the annual general meeting was given in the information system of the Tallinn Stock Exchange and on the Company’s website on 9 April 2024. The notice was published in the national daily newspaper *Postimees* on 9 April 2024. The notice included information on where materials concerning the general meeting had been made

available and where shareholders could submit their questions. The information was published in Estonian and in English. The convened general meeting took place on 9 May 2024 from 17:15 until 17:50 in Tallinn at Kodulahe pavilion at Lammi 8.

The proposals of the Supervisory Board were published in the notice of the annual general meeting. The agenda of the annual general meeting included the following:

- Approval of the annual report for 2023
- Distribution of profit and dividend payment
- Appointment of Auditor.

The following decisions were adopted at the annual general meeting:

- To approve the annual report of Arco Vara AS for 2023.
- To allocate the net profit for the year ended on 31 December 2023 in the amount of 3,550 thousand euros to retained earnings.
- To pay dividends to the shareholders 0.06 euros per share. The dividend will be paid out in 4 installments as follows:
 - 0.02 euros per share will be paid to the shareholders on 13 June 2024 by transfer to the shareholder’s bank account. The list of shareholders entitled to respective dividends (record date) shall be fixed on 6 June 2024.

- 0.01 euros per share will be paid to the shareholders on 13 September 2024 by transfer to the shareholder’s bank account. The respective dividend record date is on 6 September 2024.
- 0.02 euros per share will be paid to the shareholders on 13 December 2024 by transfer to the shareholder’s bank account. The respective dividend record date is on 6 December 2024.
- 0.01 euros per share will be paid to the shareholders on 13 March 2025 by transfer to the shareholder’s bank account. The respective dividend record date is on 6 March 2025.
- To approve KPMG Baltics OÜ as the group auditor for a period of three years.

The meeting was chaired by Miko-Ove Niinemäe. The meeting was attended by 31 shareholders whose votes represented 75.56% of total voting power. The meeting was conducted in Estonian and the chairman of the meeting made sure it was conducted smoothly. The

general meeting was also attended by the Chairman of the Supervisory Board, Tarmo Sild, and the members of the Supervisory Board, Allar Niinepuu, Hillar-Peeter Luitsalu, and Kert Kesipaik. The auditor did not attend the meeting.

Management Board

Since July 15, 2024, the company's CEO and the member of the Management Board is Kristina Mustonen.

Contract of service has been concluded with the member of the Management Board. Member of the Management Board, Kristina Mustonen, is not a controlling owner or board member of any commercial or non-profit organizations that are not part of the group.

The contract of service of a member of the management board, entered into with the member of the management board, specifies the rights, obligations and responsibilities of the member of the management board, and also regulates the payment of basic remuneration. The amount of remuneration was agreed taking into account the duties and activities of the

member of the Management Board, the current state of business and future directions. According to the contract of service of the member of the Management Board, the amount of the termination payment of the members of the Management Board was up to four months' basic remuneration. Read more about the CEO's rewarding system in the remuneration report.

Under the contract of service, the member of the Management Board has agreed not to breach the prohibition on competition. Holding certain ownership interests and being involved in the governing bodies of other companies does not constitute breach of the prohibition on competition.

Supervisory Board

The Supervisory Board is responsible for planning and organizing the operation of the Company and overseeing the activities of the Management Board. Members of the Supervisory Board of the Company are elected by the general meeting.

Under the CGR, half of the members of the Supervisory Board of a listed company have to be independent. In the event of an odd number of members in the Supervisory Board, the number of independent members may be smaller by one. Company's Supervisory Board meets the CGR's requirement regarding independent members of the Supervisory Board. During the reporting periods Steven Yaroslav Gorelik and Kert Keskaik were independent members of the Supervisory Board.

Starting from February 2021, the members of the new supervisory board were Tarmo Sild, Steven Yaroslav Gorelik, Kert Keskaik, Hillar-Peeter Luitsalu and Allar Niinepuu.

Members of the Supervisory Board elect the chairman of the Supervisory Board from among themselves. From April 30, 2020, the chairman of the supervisory board is Tarmo Sild. The members of the Supervisory Board are paid remuneration in

the amount of 500 euros (net amount) for each participated meeting but not more than 1000 euros (net amount) per month. The payment of the remuneration is dependent on the signing of the minutes of the meetings of the Supervisory Board. The chairman of the supervisory board receives an additional 500 euros per month (net). Reasonable travel expenses made for participating in the board meetings are also compensated to the members of the supervisory board. In 2024, the Supervisory Board had 8 meetings, seven of which were attended by all council members: Tarmo Sild, Hillar-Peeter Luitsalu, Kert Keskaik, Allar Niinepuu and Steven Yaroslav Gorelik, and one in which Hillar-Peeter Luitsalu was absent.

In addition to being members of the Supervisory Board, all members also perform the obligations of an Audit Committee. In the financial years 2024 and 2023, no transaction that differed from market conditions took place between a member of the management board, a person close to him or a person related to him and the company, which should be separately approved by the Supervisory Board.

Cooperation of the Management and Supervisory Board

In line with the Company's articles of association and historical practice, the Management and Supervisory Board cooperate closely. The Management and the Supervisory Board hold joint meetings for discussing matters related to the Company's strategy and exchange information about the Company's strategic development on an ongoing basis. At the meetings, the member of the Management Board informs the Supervisory Board about any deviations from the Company's plans and objectives and the reasons for those deviations. During the period under review, the member of the Management Board attended all meetings of the Supervisory Board. The members of the Supervisory Board do not take part in everyday management of the Company, but the

manager updates the Supervisory Board on a regular basis on important issues regarding planning the operations of the Company and business activities. In addition, the Supervisory Board is able to turn to the manager at any time with additional questions and/or inquiries. In information exchange, all parties observe the rules approved by the Supervisory Board for keeping and disclosing inside information, making transactions with Company's shares and segregating the functions of the Management and Supervisory Board. It has become customary that at the meetings of the Supervisory Board, the manager provides the members of the Supervisory Board an overview of important issues and developments related to the Company.

Dividend policy

General meeting has the right to change the dividend policy. Pursuant to the dividend policy adopted at the general meeting of 14 May 2021, dividends are paid to shareholders

at least 0.01 euros per share on a quarterly basis and additional dividends are paid based on audited net profit of the previous financial year.

Disclosure of information

Since the Company's shares were listed on the Tallinn Stock Exchange, the Company has disclosed information in accordance with the rules of the Tallinn Stock Exchange, the laws of the Republic of Estonia, relevant EU regulations and the principle that all shareholders should be treated equally.

The Company discloses information in the information system of the Tallinn Stock Exchange and on its website at www.arcovara.com in Estonian and in English. On the website, the information intended for shareholders is in the "Investor Relations" menu. The Company discloses on its website all facts, forecasts and estimates that have been disclosed to financial analysts or other parties. Disclosed information includes inter alia information related to the general meetings and general information about the

Company. General and more specific information about the Company can be found in different menus of the corporate website. The information is logically structured and easy to find.

On the website, the Company has posted its financial calendar in Estonian and in English until October 2025, i.e. until publishing the Q3 interim report for 2025.

The Company's website does not include information about shareholder agreements on concerted exercise of shareholder rights because the Company is not aware that such agreements have been concluded.

The Company has not organised presentations to investors and analysts directly before the release of a financial report and has never disclosed inside information or unreleased financial data at meetings with analysts or investors.

Financial reporting and auditing

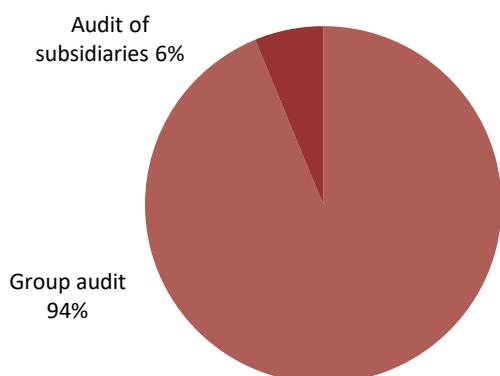
The consolidated financial statements of the Company are prepared in accordance with International Financial Reporting Standards as adopted by the European Union. Quarterly financial statements are prepared in accordance with IAS 34 Interim Financial Reporting and are designed to be read in conjunction with the Company's most recent consolidated annual financial statements. Quarterly financial statements are not audited.

The annual consolidated financial statements of the Company are audited. Annual General Meeting of shareholders appoints the auditor for the next financial year. At the shareholders' meeting on 9 May 2024, KPMG Baltics OÜ was appointed as the Company's auditor for the next three financial years. While choosing the auditor, the

Company considers the ratio of the auditing price and quality and also professionalism to be important.

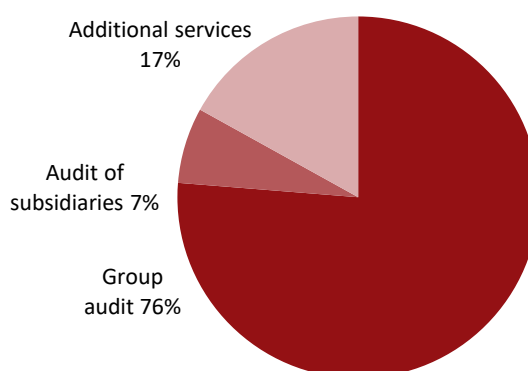
In 2024, the Group's new auditor, KPMG Baltics OÜ, was paid 23 thousand euros for the audit of the consolidated report and 2 thousand euros for the audit of the subsidiary. The former auditor, PricewaterhouseCoopers AS, was paid 22 thousand euros for the audit of the consolidated report and one thousand euros for the audits of the subsidiaries in 2024. In 2023, PricewaterhouseCoopers AS was paid 45 thousand euros for the audit of the consolidated report and 4 thousand euros for the audits of the subsidiaries. In 2023, ESG strategy consulting services were purchased from KPMG Baltics OÜ in the amount of 10 thousand euros.

Fees paid to auditors in 2024



For better risk assessment and risk management, the Group entities that have active financial activity prepare a budget for the next financial year. The Group's consolidated budget is approved by the Supervisory Board of the Company. Execution of and adherence to approved budgets is monitored by the Company's CFO. The Company's CFO ensures the high quality of financial reporting.

Fees paid to auditors in 2023



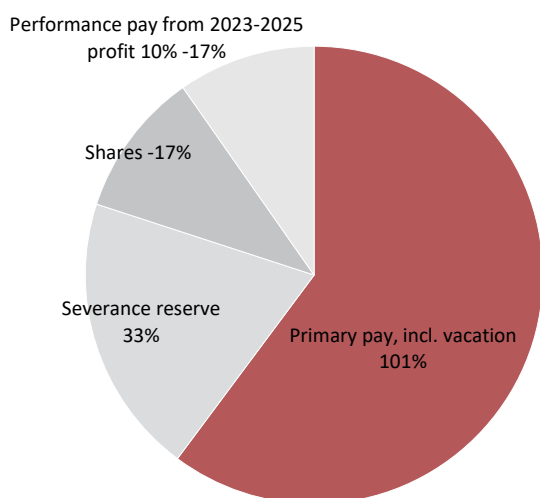
The consolidated financial statements are prepared using uniform group-wide cross-border financial accounting and reporting software. Consolidation procedures have largely been automated and are performed monthly. Monthly reports of different subsidiaries and separate units are prepared and presented to the managers of corresponding units.

Remuneration report

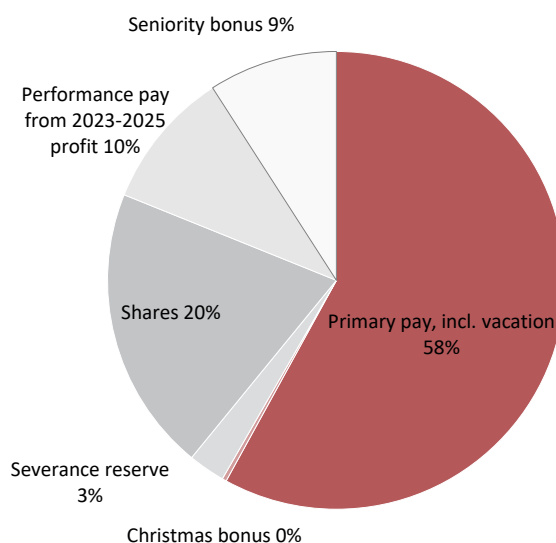
In 2024, a total of 244 thousand euros of pay together with social tax was calculated for the CEO of Arco Vara AS (in 2023: 281 thousand euros). The 2024 CEO's remuneration was lower than in 2023, as bonus reserves worth 57 thousand euros were cancelled in connection with the departure of the previous CEO in 2024. The CEO's share-based bonus system, which started in 2024, has not yet been approved by the general meeting.

Remuneration is paid to the director on the basis of the board member's contract. Pursuant to the board member's employment contract of Kristina Mustonen the council has established a fixed monthly payment of 11,000 euros (net amount). Upon leaving work, the director is eligible for a severance compensation of 4 monthly salaries.

Management remuneration proportions for 2024:



Management remuneration proportions for 2023:



The development process of real estate lasts longer than a year, therefore the volume of work and results in the form of profit are not stated in the same year.

In thousands of euros

	2024	2023	2022	2021	2020
Director's pay (gross)	169	232	120	223	67
Average number of employees (without director)	16	18	17	11	13
Average pay for employees (gross, without director)	53	84	33	43	31
Net profit (loss)	-624	3,550	695	2,071	1,012
Net profit per employee (with director)	-37	187	39	173	72

The changes are not stable since the profit for a development is stated as at the date of the real right contract for apartments, not on an ongoing basis during preliminary sales or the construction process.

The change in indicators compared to the year before is as follows.

	2024	2023	2022	2021	2020
Director's pay (gross)	-27%	93%	-46%	233%	-26%
Average number of employees (without director)	-11%	6%	55%	-15%	-26%
Average pay for employees (gross)	-37%	156%	-24%	40%	34%
Net profit (loss)	-118%	411%	-66%	105%	161%
Net profit per employee (with director)	-120%	384%	-78%	139%	245%

CEO's Confirmation of the Management Report

The CEO and member of the management board of Arco Vara AS confirms that the management report of Arco Vara ended on 31 December 2024 provides a true and fair view of business developments, financial performance and financial position of the group as well as a description of the main risks and uncertainties.

On 2 April 2025

/signed digitally/

Kristina Mustonen
Chief Executive and Member of the Management Board of Arco Vara AS